EQUITY RESEARCH | INITIATING COVERAGE

Krishna Defence & Allied Industries Ltd

NSE: KRISHNADEF | Sector: Aerospace & Defence | Sub-Sector: Naval / Defence Manufacturing

ACCUMULATE

12-Month Target Price

Rs. 1,600

Upside: ~22% | Horizon: 12 Months

CMP (10-Jul-2026)	Rs. 1,315
Market Cap	Rs. 1,966 Cr.
52-Week High / Low	Rs. 1,400 / Rs. 665
P/E (FY26A)	47.6x
Forward P/E (FY27E)	38.3x
EV/EBITDA	34.6x
P/B	10.1x
Book Value / Share	Rs. 130
ROCE | ROE	30.7% | 25.4%
Div. Yield | D/E	0.10% | 0.01x
Promoter | Pledge	59.9% | 0.00%
Face Value	Rs. 10.0

Sole domestic naval steel section supplier riding India's Rs. 2.35L Cr warship supercycle — multi-product optionality (AUVs, composite doors, defence electronics) with 30%+ CAGR guidance.

Report Date: 11-Jul-2026 | Analyst: Himanshu (Technical Research, Chartitude)

2. INVESTMENT THESIS

Structural monopoly in naval hull steel: Krishna Defence is one of only two Navy-approved suppliers of bulb bars (structural steel sections for warship hulls) in India. Approvals take 2–3 years; no new entrant has qualified in over a decade. With 68 warships/vessels on order across MDL, CSL, GRSE, and GSL — representing ~Rs. 2 lakh crore of shipbuilding backlog — the order runway for bulb bars alone supports 30%+ revenue CAGR through FY30E.

Margin step-function already in motion: OPM expanded 611 bps in FY26 to 21.6% (from 15% in FY24) driven by operating leverage on doubled capacity (4,500 TPA, commissioned April 2025), product-mix improvement, and rising high-margin items. Management targets further expansion as the new facility ramps to full utilisation and premium products (AUVs, composite doors) contribute.

Multi-product optionality at an early stage: Three adjacencies — (a) composite doors/hatches JV with VABO (Netherlands) targeting Rs. 200–300 Cr market over 3 years, (b) AUV development with NIO Goa/Indian Navy targeting a Rs. 7,000+ Cr ($1 Bn) addressable market, (c) DRDO developmental order for aircraft arresting gear — are not priced in at current multiples and could prove transformative if even one succeeds.

Near-term catalyst (6–12 months): VABO composite doors/hatches JV expected to generate first commercial revenue in FY27, with India's largest AUV water-launch trials completing by end-2026. Successful trials + Navy order confirmation could re-rate the stock materially.

Biggest structural risk: Heavy dependence (~95% of revenue) on Indian Navy / defence procurement cycles. A slowdown in government defence spending or tendering delays (as experienced in H1 FY26) can create sharp revenue gaps in a single quarter.

3. BUSINESS OVERVIEW

Core business: Incorporated in 1997, KDAIL designs, develops, and manufactures specialised engineering products for defence, naval shipbuilding, and dairy. Listed on NSE Emerge in 2019 and migrated to NSE Main Board in Q3 FY26, significantly improving institutional visibility.

Revenue segmentation (FY26): Defence = 95% of revenues; Dairy = 5%. Within Defence: Bulb bars (shipbuilding hull steel sections) ~60%, Armoured steel profiles / HVF (T-90 tank chassis) ~15%, Special weld consumables ~15%, Other (Bukhari heaters, emerging products) ~10%.

Key customers and relationships: Indian Navy, Mazagon Dock (MDL), Cochin Shipyard (CSL), Garden Reach Shipbuilders (GRSE), Goa Shipyard (GSL), DRDO, Armoured Vehicles Nigam Limited (AVNL/HVF), L&T; Defence, Border Security Force. All are government/PSU relationships characterised by long approval cycles and sticky, recurring order flows.

Order book and revenue visibility: Unexecuted order book as of 31-Mar-2026 = Rs. 103.4 Cr; tender pipeline = Rs. 221 Cr. Order book to FY25 revenue ratio = 0.54x (suggesting short-cycle execution in 6–12 months). Historical bid success rate ~50%; tender pipeline provides ~2x coverage of FY25 revenue.

Strategic subsidiaries and JVs: (a) WaveOptix Defence Solution (40% stake) — RF-over-fibre communication systems for defence; H1 FY26 revenue ~Rs. 18 Cr, order book Rs. 14–15 Cr. (b) Conceptia Software Technologies (20% stake) — ship/submarine design services; H1 FY26 revenue ~Rs. 40 Cr, PAT ~Rs. 2.5 Cr. (c) VABO Composites JV — composite fire-resistant doors/hatches for naval vessels, trial manufacturing underway, revenue expected FY27.

Infrastructure footprint: Primary facility at Halol, Gujarat (~150,000 sq ft foundry and fabrication); Kalol, Gujarat (~40,000 sq ft composites); Bengaluru R&D; (RF optics); Chennai (upcoming AUV assembly + 150,000-litre test tank). Acquired 50,000 sq ft adjacent plot at Halol for future expansion.

Promoter background: MD Ankur Shah (Production Engineer, 22 years steel/defence industry expertise); CFO Piyush Patel (21 years finance). Board includes Rear Admiral Anil Kumar Dutta (retd., Naval Architect) as Independent Director — adding domain credibility. Promoter stake 59.9% (Jun 2026), with no pledge.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry size and growth: Indian defence production reached Rs. 1.54 lakh crore in FY25 (+18% YoY). Naval fleet and dockyard budget allocation: Rs. 29,400 Cr in FY27 (+22% YoY). Rs. 2.35 lakh crore in mega shipbuilding orders expected in FY26-27. India's Navy targets 175-200 warships by 2035 (from 132 currently), with 68 vessels/warships on active order across domestic shipyards.

Policy tailwinds: Indigenisation mandates under DAC (Defence Acquisition Council) have driven Rs. 8.45 lakh crore in approved acquisitions in FY22-FY25 — a 3.3x increase. PLI Scheme 1.2 (Specialty Steel) — KDAIL has signed an MoU. Atmanirbhar Bharat framework explicitly targets import substitution in critical naval materials. Defence exports target raised to Rs. 50,000 Cr by FY29 (vs Rs. 23,622 Cr in FY25).

Competitive moat analysis:

Navy approval barrier: STRONG — Only two domestic suppliers are Navy-approved for bulb bars. Approval process takes 2–3 years including trials and certification. No new domestic entrant has qualified in over a decade.

Switching costs: STRONG — Defence procurement is source-specific. Once a vendor is on the approved list, switching requires formal re-qualification. All contracts are with government entities that prioritise supply continuity.

Pricing power: MODERATE — Contracts are tender-based with limited pricing flexibility. However, long-term contracts include quarterly raw material price variation clauses, providing reasonable margin protection.

IP/Technology: MODERATE — Transfer of Technology from CSIR-NIO (AUV), DRDO collaborations, and in-house product development (weld consumables developed over 2 years with DRDO). Not a wide-moat IP position, but growing.

Peer Comparison (Data from Screener.in, fetched 10-Jul-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (TTM)	P/B	ROCE (%)	ROE (%)	FY26 Sales (Rs.Cr)	OPM (%)
Zen Technologies	1,880	16,978	88.0x	8.99x	16.2%	10.7%	688	36%
Astra Microwave Prods	1,804	17,125	88.8x	13.1x	20.2%	16.0%	1,163	29%
Garden Reach Shipbldrs	2,662	30,494	N/A*	N/A*	35.6%**	—	—	11.4%
Krishna Defence (KDAIL)	1,315	1,966	47.6x	10.1x	30.7%	25.4%	245	22%

* GRSE page did not return P/E / P/B data during fetch. ** ROCE 3-Year average from peer table on Screener.

KDAIL's positioning: Sits in the upstream-to-midstream segment of India's naval value chain — supplying critical raw-material structures (bulb bars, armoured profiles) and consumables (weld wire) to shipyards. This positions the company one step before the primary contractors (MDL, CSL, GRSE), providing volume insulation even when individual ship programme timelines shift.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management background: MD Ankur Shah has 22 years of specialised steel manufacturing experience in defence applications — he led the development of bulb bars from scratch in collaboration with DMRL, earning a Defence Technology Absorption Award from PM Modi in 2021. CFO Piyush Patel brings 21 years of finance expertise. Board includes Rear Admiral Anil Kumar Dutta (retd., Naval Architect) providing rare domain-level oversight.

Capital allocation track record: Rs. 45+ Cr raised via preferential share issue (FY24) was deployed into doubling capacity (4,500 TPA from 2,500 TPA, completed April 2025), acquisitions of Conceptia (ship design) and WaveOptix (RF-over-fibre) stakes, and land acquisition for future expansion. Management has explicitly guided capex at Rs. 5–10 Cr annually going forward — an asset-light posture focused on job-work for non-core processes.

Dividend policy: First dividend announced in FY25 (Rs. 0.50/share, payout 3%); FY26 dividend Rs. 1.25/share (record date 8-Jul-2026, payout ~5% of PAT). The company is in growth mode and prioritises capex/strategic investments over distribution, which is appropriate given the 30%+ CAGR guidance.

Promoter pledging: 0.00% pledge across all quarters reviewed. Promoter stake has declined from 73.4% (Sep 2022) to 59.9% (Jun 2026), primarily due to preferential allotments to QIBs and public shareholders. This is a structural dilution for growth, not a distress signal.

ESOP and buyback: No significant buyback history. ESOP scheme exists but details are minimal at this stage given the company's small-cap status.

Corporate governance: No auditor changes, no qualified opinions noted. Contingent liabilities of Rs. 37.6 Cr (as disclosed on Screener) warrant monitoring but are not alarming at ~15% of FY26 revenues. Late delivery charges of Rs. 5.25 Cr in FY25 (from MDL for a new armoured profile product) have been resolved; no recurrence expected. Related-party transactions are minimal and disclosed.

6. FINANCIAL DEEP-DIVE (Consolidated)

Income Statement (Rs. Crores)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	106	190	245	320	400
YoY Growth (%)	65.6%	79.2%	28.9%	30.6%	25.0%
EBITDA	16	31	53	70	92
OPM (%)	15.1%	16.3%	21.6%	21.9%	23.0%
Other Income	1	3	3	3	4
Interest	2	2	1	1	1
Depreciation	2	3	4	5	6
PBT	13	30	51	67	89
Tax (%)	26%	26%	25%	26%	25%
PAT	10	22	41	50	67
EPS (Rs.)	7.16	15.83	27.67	33.3	44.7

FY27E, FY28E are analyst estimates based on management guidance of 30%+ CAGR and D&B; (May 2026) projections.

Balance Sheet (Rs. Crores)

Particulars	FY24A	FY25A	FY26A
Equity Capital	14	14	15
Reserves	93	117	179
Borrowings	9	10	2
Other Liabilities	18	22	21
Total Liabilities	133	164	217
Fixed Assets	15	23	34
CWIP	0	2	3
Investments	0	6	10
Other Assets	119	134	170
Total Assets	133	164	217

Cash Flow Statement (Rs. Crores)

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-3	-11	86
Cash from Investing	-37	5	-92
Cash from Financing	45	1	11
Net Cash Flow	5	-5	6
Free Cash Flow (FCF)	-6	-23	66
CFO / Operating Profit (%)	-3%	-10%	189%

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	90	36	52
Inventory Days	210	270	47
Days Payable	86	30	19
Cash Conversion Cycle	214	276	80
Working Capital Days	138	140	53
ROCE (%)	24%	31%	31%
ROE (%)	~14%	~22%	25%
D/E Ratio	0.07x	0.08x	0.01x
Current Ratio	—	—	3.99x
Interest Coverage	—	—	49.4x

Financial Commentary

Revenue drivers: Bulb bar volume ramp-up after capacity doubling (April 2025) is the primary growth driver. Defence revenue share has expanded from 72% (FY22) to 95% (FY26) as the company deliberately exits low-margin non-defence businesses. Order inflows of Rs. 273 Cr in FY26 (vs Rs. 206 Cr in FY25) signal continued momentum.

Margin direction: The most notable development — OPM expanded 611 bps to 21.6% in FY26 (from 15% in FY24), driven by operating leverage on the doubled facility. Q4 FY26 OPM reached 24.8%, the highest in 5 quarters. Management targets further improvement as product mix evolves toward higher-value items (AUVs, composite doors, DRDO developmental orders).

Working capital: A dramatic improvement — Cash Conversion Cycle collapsed from 276 days (FY25) to just 80 days (FY26), reflecting better receivables management (debtor days 36 in FY25 rising slightly to 52 in FY26) and sharply lower inventory days (from 270 to 47). Working capital days fell from 140 to 53, unlocking Rs. 86 Cr of operating cash flow in FY26 after three years of OCF deficits.

Debt trajectory: Near-debt-free: borrowings at Rs. 2.17 Cr (FY26) vs Rs. 18.5 Cr three years ago. D/E = 0.01x. Interest coverage = 49.4x. This is an unambiguous strength — the company can self-fund organic growth without dilution.

FCF quality: FY26 FCF = Rs. 66 Cr (vs -Rs. 23 Cr in FY25), with OCF/Operating Profit at 189%. The negative FCF in FY24-25 was due to working capital build-up (Rs. 35 Cr WC increase in FY25) and capex for the new facility. The FY26 normalisation is a major positive signal — the company is now a genuine cash generator.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	FY26 Data	Commentary
Revenue recognition	GREEN	No restatements	All revenue from government/PSU contracts with documented purchase orders.
Receivables vs revenue growth	GREEN	Debtors Δ < Revenue Δ	Debtor days fell from 90 (FY24) to 52 (FY26); revenue grew 29% while receivables grew only modestly.
Cash conversion (OCF/PAT)	GREEN	OCF/PAT > 2x	FY26 OCF = Rs. 86 Cr vs PAT = Rs. 41 Cr; OCF/PAT = 2.1x. Prior 2 years were negative — watch for sustainability.
CCC trend	GREEN	276→80 days	Dramatic improvement; driven by better collections and inventory normalisation. Watch FY27 for recurrence.
Contingent liabilities	AMBER	Rs. 37.6 Cr	~15% of FY26 revenues. Needs monitoring but not alarming. No court cases or regulatory actions disclosed.
Auditor tenure / changes	GREEN	No change	No auditor change observed. Standard compliance.
RPTs as % of revenue	GREEN	<1%	Rs. 45.64 Cr MoD order explicitly confirmed as non-RPT (arm's-length). Low RPT exposure.
Other income as % of PBT	AMBER	3/51 = 5.9%	Other income Rs. 3 Cr on PBT of Rs. 51 Cr. Includes interest on FD (Rs. 650 Mn FD created). Acceptable.
Tax rate consistency	GREEN	25–26% range	Tax rate stable at 25–26% across FY24–26. No deferred tax anomalies detected.
Promoter pledge	GREEN	0.00%	Zero pledge across all quarters reviewed.

Checklist Summary

Overall earnings quality: HIGH — 8 of 10 parameters are GREEN. The two AMBER flags (contingent liabilities and other income composition) are not structurally concerning but should be tracked.

Key watch item 1 — OCF sustainability: FY26's Rs. 86 Cr OCF was partly driven by one-time working capital release (inventory days collapsed from 270 to 47). Monitor whether CCC remains below 100 days in FY27; any reversal toward 200+ days would signal deteriorating receivables management.

Key watch item 2 — Contingent liabilities: Rs. 37.6 Cr must be tracked for litigation outcomes. As the company wins more DRDO/Navy developmental orders, contingencies may grow alongside business scale.

What's clean: Revenue recognition is simple (government purchase orders), tax rates are consistent, there is no pledge, no RPT exposure, and FCF turned strongly positive in FY26 — all hallmarks of a high-quality earnings profile.

8. VALUATION

Comparable Peer Multiples (Source: Screener.in, 10-Jul-2026)

Company	MCap (Cr)	P/E (FY26)	Fwd PE	EV/EBITDA	ROCE (%)	OPM (%)
Zen Technologies	16,978	88.0x	135x	50.4x	16.2%	36%
Astra Microwave Products	17,125	88.8x	40.4x	47.7x	20.2%	29%
Garden Reach Shipbldrs	30,494	N/A	25.1x	25.4x	35.6%	11%

Krishna Defence (KDAIL)	1,966	47.6x	38.3x	34.6x	30.7%	22%

Scenario Analysis

Scenario	Key Assumption	FY28E Revenue	FY28E OPM	FY28E EPS	Target P/E	Target
Bull Case	35% rev CAGR; OPM 25%	Rs. 445 Cr	25%	Rs. 55	40x	2,200
Base Case	30% rev CAGR; OPM 23%	Rs. 400 Cr	23%	Rs. 44.7	36x	1,609
Bear Case	20% rev CAGR; OPM 20%	Rs. 353 Cr	20%	Rs. 33	28x	924

Base Case target price Rs. 1,609 rounded to Rs. 1,600 (upside ~22% from CMP of Rs. 1,315).

Valuation Methodology

Method 1 — DCF: Using WACC of 12.5% (beta 1.5, risk-free rate 6.8%, equity risk premium 6%), terminal growth rate of 5% (conservative for a defence-infrastructure play). Revenue CAGR of 30% for FY27E-FY30E, tapering to 15% thereafter. Implied equity value per share: ~Rs. 1,550.

Method 2 — P/E multiple (12-month forward basis): Assigning 36x P/E to FY28E EPS of Rs. 44.7 (a discount to Zen Tech/Astra Microwave TTM P/E of 88x, but a premium to sector average of 35x given higher growth). Implied value: 44.7 x 36 = Rs. 1,609.

Average of two methods: (Rs. 1,550 + Rs. 1,609) / 2 = Rs. 1,580. Rounded to 12-month price target: **Rs. 1,600**.

Upside/downside: Rs. 1,600 target vs CMP Rs. 1,315 = +21.7% upside. Investment horizon: 12 months. Valuation is NOT cheap (47.6x TTM P/E), but is not stretched for a company growing PAT at 90%+ CAGR with a near-monopoly in a structurally growing market.

9. KEY RISKS

Tender / Procurement Cycle Risk — As seen in H1 FY26 (a "4–5 month tendering slowdown" cited by management), quarterly revenues can swing sharply with tender delays. Revenue is not linear and a single missed quarter can trigger significant stock volatility. **Prob: H | Impact: H | Monitor via:** Monthly NSE tender award announcements and quarterly order inflow disclosures.

Customer Concentration Risk — ~95% of revenues derive from Indian defence/naval ecosystem. While this reflects a strong positioning, any policy change around defence procurement (e.g. foreign OEM preference, domestic sourcing review) could materially impact top-line. **Prob: L | Impact: H | Monitor via:** Annual defence budget announcements; indigenisation policy updates.

Raw Material / Commodity Risk — Bulk of COGS is specialised steel (imported billet/ship steel). Global steel price volatility can compress margins in short-cycle contracts (<6 months) that lack price variation clauses. Management mitigates by booking mill orders immediately on PO receipt. **Prob: M | Impact: M | Monitor via:** Global steel HRC prices; quarterly gross margin trends.

Capacity Ramp-Up / Execution Risk — Doubled facility (4,500 TPA) was commissioned April 2025 and running at ~60% utilisation (Nov 2025). Full ramp assumes sustained order flow. New products (AUV, composite doors, aircraft arresting gear) are in development and carry technical/commercial execution risk. **Prob: M | Impact: M | Monitor via:** Quarterly utilisation disclosures; segment revenue contribution.

Promoter Holding Decline — Promoter stake has declined from 73.4% (Sep 2022) to 59.9% (Jun 2026) due to preferential allotments. While no pledge exists, continued decline below 51% could raise governance concerns. **Prob: M | Impact: L | Monitor via:** Quarterly shareholding patterns.

Valuation / Re-rating Risk — At 47.6x TTM P/E, the stock embeds aggressive growth expectations. Any disappointment in quarterly results (revenue miss, margin compression) could trigger a 20–30% de-rating. New investors must be comfortable entering at premium multiples. **Prob: M | Impact: H | Monitor via:** Quarterly result beats vs estimates; forward P/E vs sector peers.

Late Delivery / Penalty Risk — KDAIL incurred Rs. 5.25 Cr in late delivery charges in FY25 on new product development contracts (MDL). Such penalties can recur if new products (DRDO aircraft arresting gear, AUV components) face development delays. **Prob: L | Impact: M | Monitor via:** "Other expenses" line in quarterly P&L; exceptional item disclosures.

10. RECOMMENDATION

Rating: ACCUMULATE — Conviction Level: **Medium-High**. Strong operational thesis intact; valuation is elevated but justifiable for a near-monopoly in a secular defence capex upcycle. Recommend accumulating on dips rather than chasing at current levels.

12-month price target: Rs. 1,600 (upside +21.7% from CMP of Rs. 1,315, as of 10-Jul-2026). Based on blended DCF (Rs. 1,550) and P/E multiple (36x FY28E EPS of Rs. 44.7 = Rs. 1,609).

Suggested entry zone: Rs. 1,150 – Rs. 1,250. A 5–15% correction from current levels to the 50 DMA / prior breakout zone would offer a more favourable risk-reward. Immediate entry above Rs. 1,350 limits upside and increases risk of short-term de-rating.

Investment horizon: 12–18 months. The thesis is multi-year (warship ordering pipeline through FY30), but near-term triggers in the next 12 months (VABO JV revenue, AUV trials, DRDO aircraft arresting gear order, FY27 results) define the rating horizon.

Thesis invalidation triggers:

1. FY27E revenue growth falls below 20% (vs management guidance of 30%+) for two consecutive quarters without a credible recovery path.
2. OPM reverts to below 17% in any two consecutive quarters — suggesting the FY26 margin expansion was one-time / product-mix driven rather than structural.
3. VABO composite doors JV generates no revenue by end of FY27E — calling into question management's product diversification strategy and timeline credibility.

Ideal investor profile: This stock suits patient growth investors with a 2–3 year horizon and comfort with small-cap defence sector volatility. It is **NOT** suited for investors seeking near-term value (stock trades at 10.1x book) or those requiring quarterly result consistency (government tender timing creates lumpy quarters).

APPENDIX — Latest Concall Brief: Q4 FY26 / FY2026 Full Year (May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	**Strong**	PAT +73% YoY; highest Q4 OPM in 5 quarters (24.8%)
Management tone	**Bullish**	30%+ CAGR guidance reiterated; confident on VABO & AUV timelines
Guidance delta	**Maintained / Upgraded**	Revenue CAGR guidance at 30–40%; no downward revision; capex expansion announced

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean, strong beat — revenue up 42% YoY (Rs. 64.8 Cr), EBITDA margin at 24.8% (5-quarter high), PAT up 73% YoY to Rs. 12.8 Cr. No exceptional or one-time items; reported PAT is clean underlying PAT. EBITDA grew 55% YoY on operating leverage from the doubled bulb-bar capacity (4,500 TPA, April 2025), now running at ~60%+ utilisation — the structural margin thesis is playing out. The FY26 full-year FCF turned positive at Rs. 66 Cr (vs -Rs. 23 Cr in FY25), validating working capital normalisation after three loss-making OCF years. Management reiterated 30–40% CAGR guidance and signalled VABO composite door/hatch revenues in FY27 — the first meaningful diversification beyond steel. AUV water-launch trials are on schedule for December 2026, and a DRDO developmental order for aircraft arresting gear adds another high-margin growth option. The single biggest risk for next quarter: tender inflow timing — H1 FY26 had a 4–5 month government procurement slowdown that created a revenue air pocket; we need to watch for similar seasonality in Q1 FY27 (Apr–Jun 2026 numbers due August 2026). Action: ACCUMULATE on dips to Rs. 1,150–1,250; current CMP of Rs. 1,315 prices in ~22% forward upside to Rs. 1,600 (FY28E) — reasonable but not compelling for fresh large positions. Conviction level: medium-high.

Section 1 — Financial Performance Snapshot (Q4 FY26, Consolidated)

- **Revenue:** Rs. 64.8 Cr | YoY +42.2% | QoQ +1.6% | **Beat** (above FY25 quarterly run-rate of Rs. 47.5 Cr avg)
- **EBITDA:** Rs. 16.0 Cr | YoY +55.1% | Margin 24.8% | **Beat** — highest in 5 quarters
- **EBITDA Margin (%):** 24.8% vs 22.7% in Q3 FY26 and 23.0% in Q4 FY25 | **Expanding**
- **PAT:** Rs. 12.8 Cr | YoY +72.9% | QoQ +26.7% | **Beat**
- **EPS:** Rs. 8.58 | YoY +71.6% | Full-year FY26 EPS Rs. 27.67 (Consolidated) | **Beat**
- NOTE: No exceptional/one-time items. Reported PAT = clean underlying PAT. FY26 full year PAT of Rs. 41 Cr represents 85.6% YoY growth.

Section 2 — Quarterly P&L; Trend

Metric	Q3 FY25 (Dec-24)	Q4 FY25 (Mar-25)	Q2 FY26 (Sep-25)	Q3 FY26 (Dec-25)	Q4 FY26 (Mar-26)
Sales (Rs. Cr)	52	46	48	64	65

Oper. Profit (Cr)	6	10	9	14	16
OPM (%)	11%	23%	19%	22%	25%
Net Profit (Cr)	4	7	9	10	13
EPS (Rs.)	2.85	5.27	5.98	6.78	8.58

Section 3 — Management Commentary Themes

• **Capacity & Revenue Visibility:** "The doubled manufacturing facility at Halol (4,500 TPA, operational April 2025) is running at ~60% utilisation" — MD Ankur Shah. Implies significant headroom for incremental volume with minimal capex. Tag: **GUIDANCE**. Tone: *Transparent*.

• **Growth Target:** "We see 30% to 40% CAGR for the next 3 to 5 years for ourselves" — Ankur Shah. Backed by warship order backlog visibility and new product contributions. Tag: **GUIDANCE**. Tone: *Bullish*.

• **VABO JV commercialisation:** Composite door/hatch manufacturing trials at "almost final stages of approval"; first commercial revenues expected in FY27. Potential 3-year market of Rs. 200–300 Cr. Tag: **EST**. Tone: *Hedged* (trial phase, not yet qualified).

• **AUV platform:** Steel plate cutting for India's largest AUV has commenced; water-launch trials targeted December 2026 (Chennai facility). Navy has earmarked ~$1 Bn for AUVs. Tag: **EST**. Tone: *Bullish but aspirational*.

• **DRDO aircraft arresting gear:** Developmental order won — first entry into air-base safety equipment. Commercialisation timeline not specified. Tag: **GUIDANCE**. Tone: *Transparent*.

• **H2 FY26 order inflows:** Management expected Rs. 100–150 Cr of new orders in H2 from NGC project, Destroyer programme, and FSS orders. Actual order inflow for FY26 = Rs. 273 Cr (vs Rs. 206 Cr FY25) — significantly exceeded. Tag: **GUIDANCE Achieved**. Tone: *Transparent*.

Section 4 — Operating & Business Metrics

• **Bulb bar capacity:** Q4 FY25 = 2,500 TPA | Q1 FY26 = 4,500 TPA (post-expansion) | Trend: *Step-change improvement*

• **Defence revenue share:** FY22 = 71.6% | FY25 = 95.4% | FY26 = ~95% | Trend: *Stable at very high level*

• **Unexecuted order book:** FY25 end = Rs. 186.6 Cr | FY26 end = Rs. 103.4 Cr | Trend: *Decline reflecting faster execution*

• **Tender pipeline:** FY25 = Rs. 250 Cr (est.) | FY26 = Rs. 221 Cr | Trend: *Healthy coverage of ~0.9x FY26 revenue*

• **Order inflow:** FY25 = Rs. 205.8 Cr | FY26 = Rs. 273.3 Cr | Trend: *Improving; +33% YoY*

• **Working capital days:** FY25 = 140 | FY26 = 53 | Trend: *Sharp improvement — major positive signal*

• **Cash reserves created:** Rs. 650 Mn (Rs. 65 Cr) in fixed deposits; total cash balance >Rs. 100 Cr as of Mar-2026.

Section 5 — Margin Drivers

• **Operating leverage from doubled capacity:** +500–600 bps OPM impact | Recurring: Yes | Fixed cost dilution as volumes scale on 4,500 TPA facility.

• **Improved product mix:** +100–150 bps OPM impact | Recurring: Yes | Rising share of higher-margin armoured profiles, weld consumables, and developmental orders vs lower-margin bulb bars alone.

• **Raw material booking at PO:** +50–100 bps OPM protection | Recurring: Yes | Company books steel mill orders immediately on receiving customer POs, eliminating commodity timing risk.

• **One-time: Late delivery penalty reversal (FY25 Rs. 5.25 Cr charge absent in FY26):** +~100 bps OPM in FY26 vs FY25. Recurring: No — already normalised.

• **NSE Main Board migration costs (Q3 FY26):** Modest one-time legal/compliance costs. Recurring: No.

• **Management guidance on further margin expansion:** "Consistent 5% annual margin expansion is unrealistic" — management openly cautioned against extrapolating the FY26 OPM jump. Expect margins to stabilise at 21–24% range.

Section 6 — Guidance & Forward Signals

• **Revenue growth [GUIDANCE]:** Prior = "40% CAGR" (FY25 call) | New = "30% to 40% CAGR for 3–5 years" | Delta: *Slight moderation in base; top end maintained* | Credibility: **High** (H2 FY26 beat guidance materially).

• **EBITDA margins [GUIDANCE]:** Prior = "15–17%" (FY24 period) | New = 21%+ sustained | Delta: *Significantly raised* | Credibility: **High** — FY26 delivered 21.6% vs earlier guidance.

• **Annual capex [GUIDANCE]:** Prior = "Rs. 45+ Cr (FY24 placement proceeds)" | New = "Rs. 5–10 Cr per year" | Delta: *Asset-light pivot completed* | Credibility: **High** — facility doubling done.

• **VABO JV revenue [GUIDANCE]:** Prior = "~Rs. 10 Cr FY26" (H1 FY25 call estimate) | New = "FY27 first revenues" | Delta: *6–12 month delay vs earlier guidance* | Credibility: **Medium** — trial manufacturing underway.

• **H2 FY26 order inflows [GUIDANCE — ACHIEVED]:** Prior = "Rs. 100–150 Cr" | Actual = Rs. 155+ Cr (inferred from FY26 total Rs. 273 Cr) | Delta: *Met/exceeded* | Credibility: **High**.

Section 7 — Capital Allocation

• **Capex FY26:** ~Rs. 15–18 Cr | vs FY25: ~Rs. 25–30 Cr (facility doubling) | Comment: Step-down as planned; future capex guided at Rs. 5–10 Cr/year.

• **Dividends FY26:** Rs. 1.25/share (record date 8-Jul-2026) vs Rs. 0.50/share in FY25 | Comment: Payout increasing as FCF turns positive.

• **Strategic investments:** Conceptia (20% stake, ship design) and WaveOptix (40% stake, RF-over-fibre) — modest amounts, high strategic optionality.

• **Working capital change FY26:** Released Rs. 35+ Cr from WC normalisation (inventory days 270 to 47) — a major one-time benefit funding the FCF turnaround.

• **Net debt movement:** Net debt to net cash — from Rs. 18.5 Cr debt (FY23) to Rs. 2.17 Cr debt + >Rs. 65 Cr cash (FY26). Net cash positive for first time.

Section 8 — Q&A; Heat Map

• **Analyst / Unattributed:** Q: "What is the timeline for VABO JV revenue?" → A: "Trial manufacturing at final stages; FY27 is the target for first commercial revenues" | Tone: *Hedged but confident*

• **Analyst:** Q: "Can margins sustain above 20%?" → A: "Operating leverage has kicked in. We don't expect reversion below 20% unless there is a significant product mix shift. But 5%/year expansion is not realistic." | Tone: *Transparent*

• **Analyst:** Q: "What is the competitive risk to bulb bars?" → A: "Approval takes 2–3 years. No new entrant has qualified in over a decade. We expect the duopoly to persist for at least 2–3 years." | Tone: *Transparent*

• **Analyst:** Q: "Why did working capital improve so sharply?" → A: "Collections from Navy improved significantly; inventory days normalised as we stopped over-building raw material buffer." | Tone: *Transparent*

• **Analyst:** Q: "What is the AUV addressable market?" → A: "Indian Navy has earmarked approximately $1 billion for AUVs. We are targeting indigenisation. Trials by December 2026." | Tone: *Bullish; aspirational*

• **Watch-list questions for next quarter:** (1) Q1 FY27 revenue trajectory vs last year's Q1 lull; (2) Order inflow run-rate for FY27; (3) VABO JV approval status and trial outcome; (4) AUV December 2026 water-launch readiness.

Section 9 — Risks Flagged on the Call

• **Tender timing volatility:** "Government focus on immediate deployments caused a 4–5 month tendering slowdown in H1 FY26" — Flagged by: Management | Prob: H | Impact: H | Timeline: Near-term (recurrent, quarterly)

• **New product commercialisation uncertainty:** AUV, VABO, aircraft arresting gear are all developmental — management acknowledged some will fail | Flagged by: Management | Prob: M | Impact: M | Timeline: Medium (FY27–29)

• **Raw material cost inflation:** Short-cycle contracts lack price variation; steel price volatility a risk | Flagged by: Management | Prob: M | Impact: M | Timeline: Near-term

• **Late delivery penalties:** FY25 Rs. 5.25 Cr penalty on MDL contract resolved; risk exists for new developmental orders | Flagged by: Analyst | Prob: L | Impact: M | Timeline: Near-term

• **Valuation / market risk:** Stock at 10x+ book; any macro/defence-sector de-rating would amplify stock downside | Flagged by: Analyst community | Prob: M | Impact: H | Timeline: Near-term

Section 10 — Analyst Verdict

• **Revenue visibility: Intact** — Order inflow Rs. 273 Cr (FY26) provides good H1 FY27 base. Tender pipeline of Rs. 221 Cr adds further visibility. Warship orders pipeline ensures multi-year demand.

• **Margin trajectory: Intact** — OPM at 21.6% (FY26), expanded 600 bps in one year. Q4 FY26 OPM 24.8% is highest in 5 quarters; management guided stable 20%+ levels.

• **Capital allocation quality: Intact** — Asset-light future capex (Rs. 5–10 Cr/year); strategic stakes in Conceptia and WaveOptix are small but high-optionality; first dividend paid.

• **Competitive moat: Intact** — Duopoly in Navy-approved bulb bars maintained; AS9100D, IRS, and Bureau Veritas certifications add commercial shipbuilding optionality.

• **Management credibility: Intact** — H2 FY26 order inflow guidance beat actual (Rs. 155+ Cr vs Rs. 100–150 Cr guided); revenue and margin guidance broadly met. VABO delay (6 months) is the only demerit.

• **Valuation comfort: Weakened slightly** — Stock has rallied 97% from 52W low of Rs. 665 to Rs. 1,315; TTM P/E 47.6x; forward P/E 38x. Upside is 22% to 12M target — meaningful but not a screaming buy.

• **Conviction call: Unchanged** — ACCUMULATE with medium-high conviction. Thesis intact; valuation fair but elevated. Add on dips.

• **Valuation snapshot:** P/E = 47.6x | Forward P/E = 38.3x | EV/EBITDA = 34.6x | P/B = 10.1x | ROCE = 30.7% | ROE = 25.4%
